

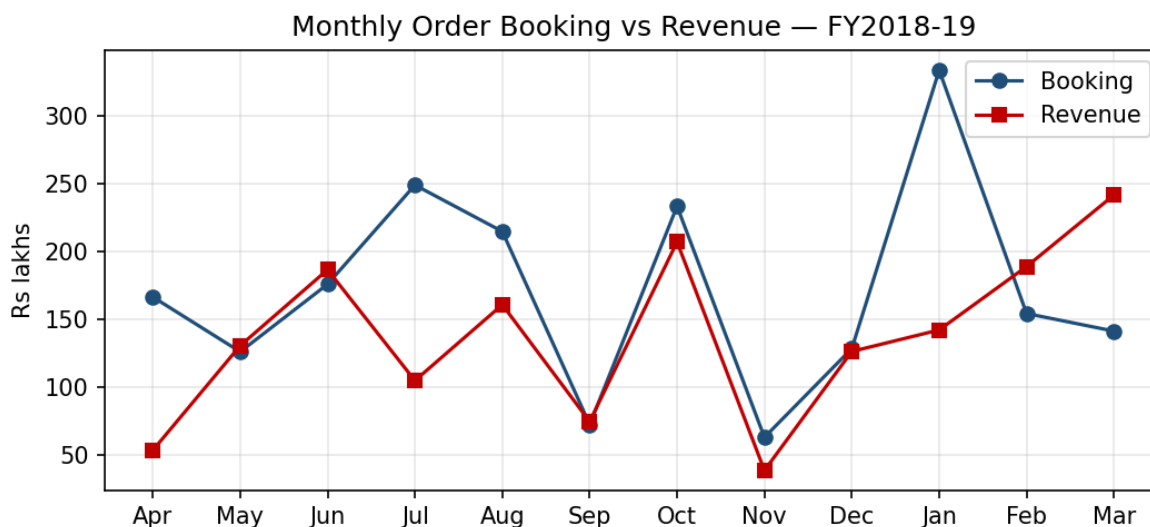
1. Executive Summary

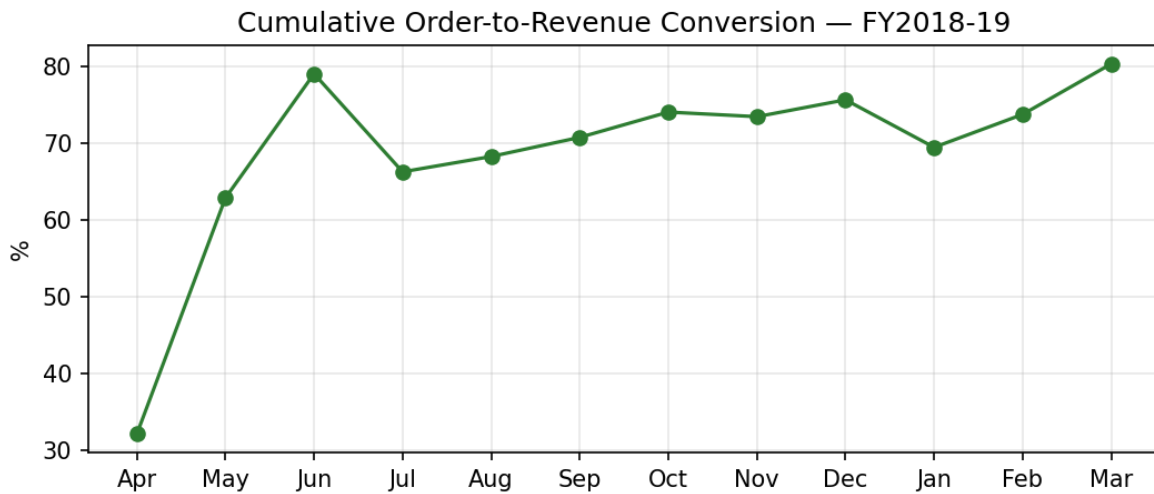
This report analyses twelve months of MIS data (April 2018 – March 2019) and the first quarter of FY2019-20, connecting digital marketing spend, the sales funnel, order bookings and revenue realisation. The company booked orders worth Rs 2,061.6 lakhs in FY19 and billed revenue of Rs 1,657.9 lakhs — a cumulative order-to-revenue conversion of about 80%. Gross margin is healthy at ~24.5% of net revenue, but operating overheads exceed it, leaving a net contribution margin of -10.8%. Marketing efficiency deteriorated through the year (CPL up ~45% from Q1 to Q4), and Q1 FY20 shows a sharp drop in showroom meetings and booking value that warrants immediate attention.

2. Order-to-Revenue Conversion

Revenue is billed with a lag after an order is booked. In April 2018 only 32% of the month's bookings appeared as revenue; the cumulative conversion ratio then climbed steadily and closed the year at 80.4%, leaving roughly Rs 404 lakhs (~20% of the FY order book) unbilled as of 31 March 2019.

A simple lag analysis confirms the execution cycle: revenue correlates most strongly with bookings made two months earlier (correlation 0.47) versus same-month bookings (0.34) and one-month-lagged bookings (-0.19). In other words, an order typically takes around two months to be executed and billed. The Jan-19 booking spike of Rs 334 lakhs converting only ~43% in-month, followed by the strong Feb-Mar billing, illustrates this clearly.



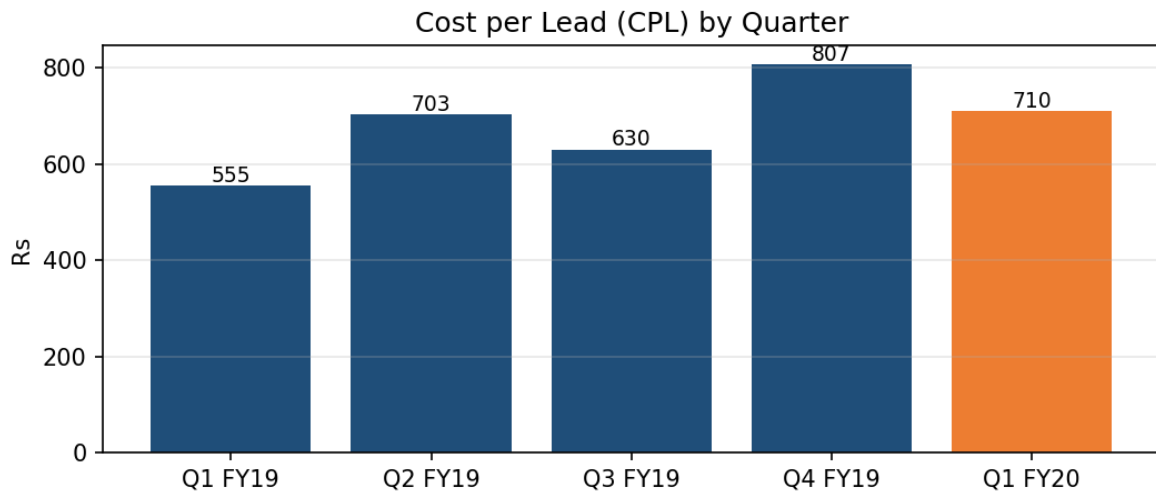


3. Digital Marketing Efficiency (Quarter-on-Quarter)

Metric	Q1 FY19	Q2 FY19	Q3 FY19	Q4 FY19	Q1 FY20	Q1 YoY
DM Spend (Rs lakhs)	11.54	13.58	11.48	17.31	8.41	-27%
DM Leads	2,077	1,931	1,821	2,146	1,185	-43%
CTR	1.79%	2.19%	2.30%	1.45%	1.85%	+3%
CPC (Rs)	12.1	11.5	12.2	16.1	13.8	+13%
CPL (Rs)	555	703	630	807	710	+28%
Spend per Order (Rs)	15,383	18,600	19,793	19,239	18,685	+21%
Spend as % of Booking Value	2.46%	2.53%	2.70%	2.75%	2.90%	+18%

Efficiency worsened almost monotonically through FY19. Cost per lead rose from Rs 555 in Q1 to Rs 807 in Q4 (+45%), and cost per click from Rs 12.1 to Rs 16.1. Q4 is the standout anomaly: it carried the highest spend of the year (Rs 17.3 lakhs) yet delivered the lowest CTR (1.45%) — spend was pushed into less responsive audiences or fatigued creatives. The cost of acquiring one order rose from ~Rs 15.4k to ~Rs 19.2k over the year.

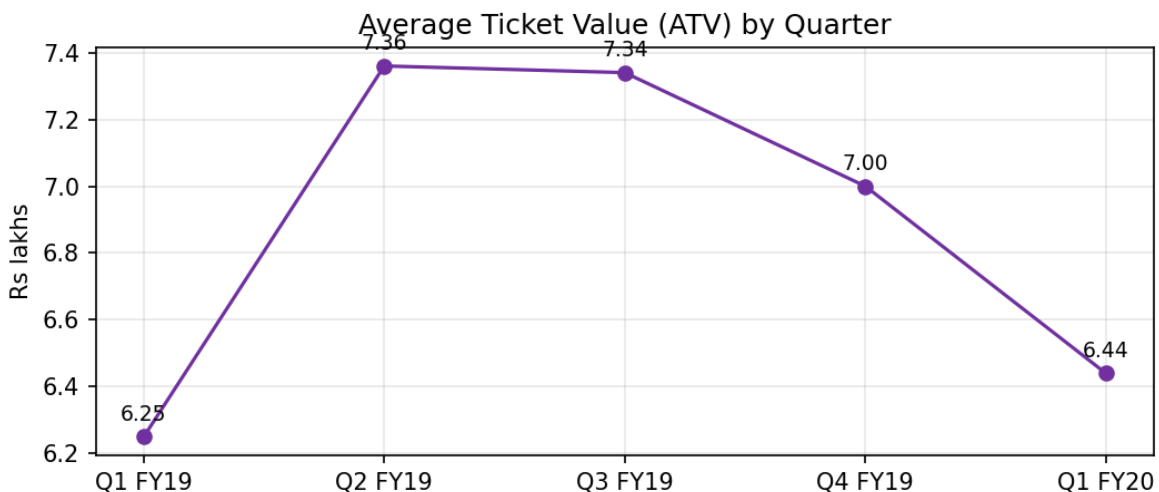
The offsetting positive is lead quality: the proportion of digital leads that passed qualification improved from 29.6% in Q1 FY19 to 56.9% in Q1 FY20, and the end-to-end DM-lead-to-booking rate held in a narrow 3.2%–4.2% band. The channel is producing fewer but better leads; the problem is the rising price paid per lead.



4. Order Value Movement (Quarter-on-Quarter)

Metric	Q1 FY19	Q2 FY19	Q3 FY19	Q4 FY19	Q1 FY20	Q1 YoY
Order Bookings (#)	75	73	58	90	45	-40%
Booking Value (Rs lakhs)	469.1	537.0	425.5	630.0	289.6	-38%
ATV (Rs lakhs)	6.25	7.36	7.34	7.00	6.44	+3%
ATV QoQ change	—	+17.6%	-0.3%	-4.6%	-8.1%	—

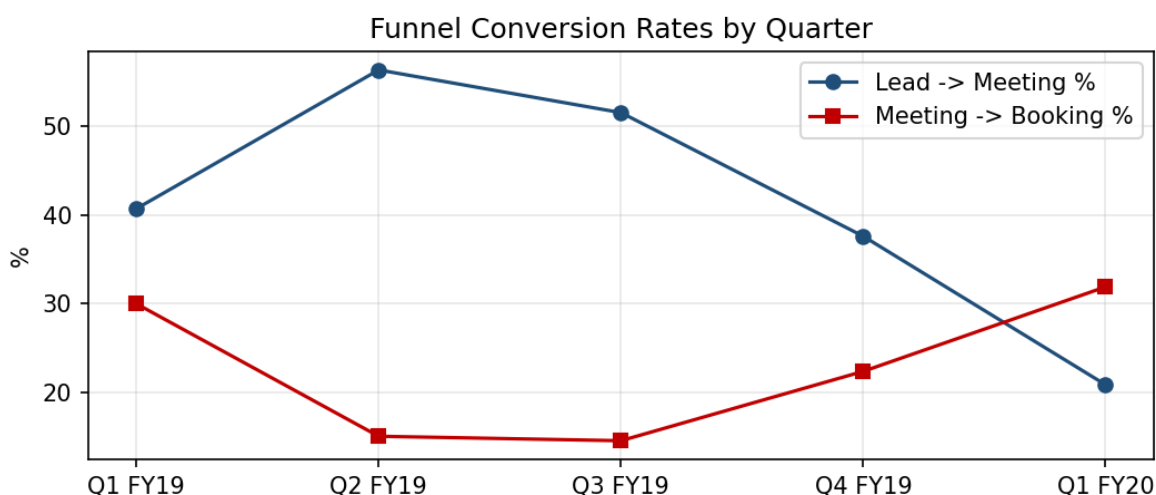
Average ticket value jumped 17.6% in Q2 FY19 to Rs 7.36 lakhs and then declined for three consecutive quarters, reaching Rs 6.44 lakhs in Q1 FY20 — about 12.5% below the peak. Booking value in Q4 FY19 (Rs 630 lakhs) was driven by volume (90 orders), not by ticket size. The FY20 opening quarter combines the ATV slide with a 40% fall in order count, so booking value dropped 38% year-on-year.



5. Sales Funnel Trends

Lead-to-meeting conversion collapsed from a Q2 FY19 high of 56.3% to 20.9% in Q1 FY20, while meeting-to-booking conversion improved to 31.9% — its best level in the period. Fewer prospects are walking into the

showroom, but those who do are more serious. Showroom meetings fell 44% year-on-year in Q1 FY20 (141 vs 250), which is the single biggest driver of the booking decline.



6. Profitability (MIS)

Metric	FY19 Total (Rs lakhs)	Monthly Average
Sales – Booking	2,061.6	171.8
Revenue (billed)	1,657.9	138.2
Net Revenue (ex-GST)	1,405.0	117.1
Gross Margin	344.3	28.7 (24.5%)
Contribution Margin	-65.4	-5.5 (-4.7%)
Net Contribution Margin	-151.3	-12.6 (-10.8%)

Gross margin of 24.5% is respectable, but the fully loaded operating cost stack — customer acquisition, sales, design, project management & installation, logistics and financial transaction costs of roughly Rs 34 lakhs per month — exceeds the average gross margin of Rs 28.7 lakhs. After regional admin and support costs, the business loses about Rs 12.6 lakhs per month at the net contribution level. Break-even requires either materially higher monthly billing (scale to absorb the largely fixed sales/design/PM cost base) or a leaner cost structure.

7. Key Conclusions & Recommendations

- Execution lag is ~2 months; ~Rs 404 lakhs of FY19 orders remained unbilled at year-end. Tighten project scheduling and track an explicit order backlog metric in the MIS to smooth revenue.
- Reset the digital media plan: Q4's spend surge bought expensive, low-CTR impressions. Reallocate budget to the audiences/creatives behind the Q2–Q3 CTR peaks and cap CPL near the Rs 550–630 band.
- Arrest the ATV slide (three straight declining quarters) via upselling, bundling and design-led premiumisation; a return to the Rs 7.3-lakh ATV alone would add ~9% to booking value at current volumes.
- Investigate the Q1 FY20 meeting shortfall (lead-to-meeting down to 21%) — lead follow-up speed, showroom appointment process and lead-source mix should be audited before increasing spend.

- The unit economics are gross-margin positive but contribution-negative; the company needs roughly 20-25% more monthly billed revenue at current margins, or an equivalent overhead reduction, to reach break-even.